

KELANI CABLES PLC

Company Reg. No. PQ 117



INTERIM FINANCIAL STATEMENTS

FOR THE YEAR ENDED MARCH 31, 2026

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 31 MARCH 2026

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the quarter ended 31 March	COMPANY AND INVESTEE		COMPANY	
	2026 Rs.000	2025 Rs.000	2026 Rs.000	2025 Rs.000
Revenue	5,650,763	4,944,128	5,650,763	4,944,128
Cost of sales	(4,879,398)	(3,791,641)	(4,879,398)	(3,791,641)
Gross profit	771,365	1,152,487	771,365	1,152,487
Other income	27,010	10,108	27,010	10,108
Change in fair value of investment property	66,000	30,000	66,000	30,000
Distribution expenses	(218,927)	(240,473)	(218,927)	(240,473)
Administrative expenses	(131,114)	(148,470)	(131,114)	(148,470)
Profit from operations	514,334	803,652	514,334	803,652
Finance income	214,593	153,117	214,593	153,117
Finance expenses	(8,091)	(2,813)	(8,091)	(2,813)
Net finance income	206,502	150,304	206,502	150,304
Share of profit/(loss) on equity accounted investee, net of tax	15,673	(684)	-	-
Profit before tax	736,509	953,272	720,836	953,956
Income tax expense	(203,353)	(264,364)	(203,353)	(264,364)
Profit for the quarter	533,156	688,908	517,483	689,592
Other comprehensive income				
Items that will not be reclassified to profit or loss	-	-	-	-
Actuarial (loss)/gain on defined benefit obligations	-	(15,830)	-	(15,830)
Related tax	-	4,749	-	4,749
Other comprehensive income , net of tax	-	(11,081)	-	(11,081)
Total comprehensive income for the quarter	533,156	677,827	517,483	678,511
Basic/diluted earnings per share -Rs.	2.45	3.16	2.37	3.16
Market value per share				
Highest price-(Rs.)			153.00	610.00
Lowest price-(Rs.)			96.00	435.00
Last traded price-(Rs.)			102.50	520.00

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INTERIM FINANCIAL STATEMENTS - 31 MARCH 2026

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the year ended 31 March	COMPANY AND INVESTEE		COMPANY	
	2026 Rs.000	2025 Rs.000	2026 Rs.000	2025 Rs.000
Revenue	20,620,611	17,657,510	20,620,611	17,657,510
Cost of sales	(16,716,961)	(13,522,776)	(16,716,961)	(13,522,776)
Gross profit	3,903,650	4,134,734	3,903,650	4,134,734
Other income	76,435	16,469	76,435	16,469
Change in fair value of investment property	66,000	30,000	66,000	30,000
Distribution expenses	(826,409)	(837,633)	(826,409)	(837,633)
Administrative expenses	(535,729)	(484,955)	(535,729)	(484,955)
Profit from operations	2,683,947	2,858,615	2,683,947	2,858,615
Finance income	737,387	443,058	737,387	443,058
Finance expenses	(22,762)	(64,264)	(22,762)	(64,264)
Net finance income	714,625	378,794	714,625	378,794
Share of loss on equity accounted investee, net of tax	15,466	(1,300)	-	-
Profit before tax	3,414,038	3,236,109	3,398,572	3,237,409
Income tax expense	(951,075)	(934,723)	(951,075)	(934,723)
Profit for the period	2,462,963	2,301,386	2,447,497	2,302,686
Other comprehensive income				
Items that will not be reclassified to profit or loss	-	-	-	-
Actuarial (loss)/gain on defined benefit obligations	-	(15,830)	-	(15,830)
Related tax	-	4,749	-	4,749
Other comprehensive income, net of tax	-	(11,081)	-	(11,081)
Total comprehensive income for the period	2,462,963	2,290,305	2,447,497	2,291,605
Basic/diluted earnings per share -Rs.	11.30	10.56	11.23	10.56
Market value per share				
Highest price-(Rs.)			1,380.00	610.00
Lowest price-(Rs.)			96.00	270.00
Last traded price-(Rs.)			102.50	520.00

STATEMENT OF FINANCIAL POSITION

	COMPANY & INVESTEE		COMPANY	
	As at 31 March	As at 31 March	As at 31 March	As at 31 March
	2026 Rs.000	2025 Rs.000	2026 Rs.000	2025 Rs.000
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	1,558,404	1,494,157	1,558,404	1,494,157
Investment property	846,000	780,000	846,000	780,000
Right-of-use assets	372	1,862	372	1,862
Investment in equity accounted investee	94,305	78,839	51,200	51,200
	2,499,082	2,354,859	2,455,977	2,327,220
CURRENT ASSETS				
Inventories	4,510,060	3,892,360	4,510,060	3,892,360
Trade and other receivables	2,184,473	2,130,092	2,184,473	2,130,092
Amount due from related companies	1,016	3,289	1,016	3,289
Value added tax recoverable	971,289	966,625	971,289	966,625
Deposits and prepayments	21,148	23,848	21,148	23,848
Financial assets measured at FVTPL	4,888,051	3,583,977	4,888,051	3,583,977
Investment in fixed deposits	3,313,480	2,975,462	3,313,480	2,975,462
Cash and cash equivalents	730,014	684,829	730,014	684,829
	16,619,530	14,260,482	16,619,530	14,260,482
TOTAL ASSETS	19,118,612	16,615,341	19,075,507	16,587,702
EQUITY AND LIABILITIES				
EQUITY				
Stated capital	218,000	218,000	218,000	218,000
Capital reserves	823,459	823,459	747,227	747,227
General reserves	430,136	431,136	430,136	431,136
Retained earnings	13,909,039	11,772,076	13,942,166	11,820,669
	15,380,634	13,244,672	15,337,529	13,217,033
NON-CURRENT LIABILITIES				
Employee benefits	233,480	204,841	233,480	204,841
Deferred taxation	228,751	228,751	228,751	228,751
Interest bearing borrowings	14,184	25,231	14,184	25,231
	476,416	458,824	476,416	458,824
CURRENT LIABILITIES				
Trade and other payables	1,512,618	1,382,083	1,512,618	1,382,083
Amount due to related companies	659,835	575,741	659,835	575,741
Current tax payables	826,819	916,648	826,819	916,648
Unclaimed dividends	24,822	17,910	24,822	17,910
Interest bearing borrowings	236,047	12,167	236,047	12,167
Bank overdrafts	1,422	7,297	1,422	7,297
	3,261,563	2,911,845	3,261,563	2,911,845
TOTAL LIABILITIES	3,737,978	3,370,669	3,737,978	3,370,669
TOTAL EQUITY AND LIABILITIES	19,118,612	16,615,341	19,075,507	16,587,702
Net asset per share (Rs.)	70.55	60.76	70.36	60.63

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

(Sgd.)

Ms. Hemamala Karunasekara
Chief Financial Officer

(Sgd.)

U. G. Madanayake
Chairman

(Sgd.)

Suren Madanayake
Deputy Chairman

May 26, 2026
Colombo

STATEMENT OF CHANGES IN EQUITY

COMPANY AND INVESTEE

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2024	218,000	823,459	431,136	9,699,771	11,172,367
Profit for the period	-	-	-	2,301,386	2,301,386
Other comprehensive income	-	-	-	-	-
Actuarial (loss)/gain on defined benefit obligations, net of tax	-	-	-	(11,081)	(11,081)
Total comprehensive income	-	-	-	2,290,305	2,290,305
Transactions with owners of the Company					
Interim dividend	-	-	-	(218,000)	(218,000)
Balance as at 31 March 2025	218,000	823,459	431,136	11,772,076	13,244,672
Balance as at 1 April 2025	218,000	823,459	431,136	11,772,076	13,244,672
Profit for the period	-	-	-	2,462,962	2,462,962
Other comprehensive income	-	-	-	-	-
Actuarial (loss)/gain on defined benefit obligations, net of tax	-	-	-	-	-
Total comprehensive income	-	-	-	2,462,962	2,462,962
Transactions with owners of the Company					
Interim dividend	-	-	(1,000)	(326,000)	(327,000)
Balance as at 31 March 2026	218,000	823,459	430,136	13,909,039	15,380,634

COMPANY

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2024	218,000	747,227	431,136	9,747,064	11,143,427
Adjustment on initial application of SLFRS 09	-	-	-	-	-
Tax effect arising on initial application of SLFRS 09	-	-	-	-	-
Profit for the period	-	-	-	2,302,687	2,302,687
Other comprehensive income	-	-	-	-	-
Actuarial (loss)/gain on defined benefit obligations, net of tax	-	-	-	(11,081)	(11,081)
Total comprehensive income	-	-	-	2,291,605	2,291,605
Transactions with owners of the Company					
Interim dividend	-	-	-	(218,000)	(218,000)
Balance as at 31 March 2025	218,000	747,227	431,136	11,820,669	13,217,033
Balance as at 1 April 2025	218,000	747,227	431,136	11,820,669	13,217,033
Profit for the period	-	-	-	2,447,496	2,447,496
Other comprehensive income	-	-	-	-	-
Actuarial (loss)/gain on defined benefit obligations, net of tax	-	-	-	-	-
Total comprehensive income	-	-	-	2,447,496	2,447,496
Transactions with owners of the Company					
Interim dividend	-	-	(1,000)	(326,000)	(327,000)
Balance as at 31 March 2026	218,000	747,227	430,136	13,942,166	15,337,529

STATEMENT OF CASH FLOWS

For the year ended 31 March	COMPANY & INVESTEE		COMPANY	
	2026 Rs.000	2025 Rs.000	2026 Rs.000	2025 Rs.000
Cash flow from operating activities				
Profit before tax	3,414,037	3,236,109	3,398,572	3,237,409
Adjustments for:				
Share of loss/(profit) from equity accounted investee (net of tax)	(15,466)	1,300	-	-
Interest income	(181,120)	(443,058)	(181,120)	(443,058)
Interest expense	22,762	11,335	22,762	11,335
Changes in fair value of investment property	(66,000)	(30,000)	(66,000)	(30,000)
Depreciation of property, plant and equipment	87,410	91,862	87,410	91,862
Amortization of right-of-use assets	1,490	1,117	1,490	1,117
Net effect of termination of lease assets	-	(558)	-	(558)
Profit on disposal of property, plant and equipment	(129)	(847)	(129)	(847)
Provision/(reversal) for impairment of trade & other receivables	-	6,782	-	6,782
Remeasurement gain on financial assets measured at FVTPL	(339,075)	(99,658)	(339,075)	(99,658)
Provision charged for obsolete and slow moving inventories	1,658	39,843	1,658	39,843
Unrealized exchange loss/(gain) on investment in fixed deposits	(88,871)	9,073	(88,871)	9,073
Inventory write off	9,058	8,592	9,058	8,592
Provision for warranties	(7,537)	4,274	(7,537)	4,274
Write off of property, Plant and Equipment	1	26	1	26
Write back of unclaimed dividends	-	(1,460)	-	(1,460)
Provision for employee benefits	38,251	34,204	38,251	34,204
Operating profit before working capital changes	2,876,469	2,868,934	2,876,469	2,868,934
Changes in working capital				
Increase in inventories	(628,416)	(685,995)	(628,416)	(685,995)
Increase in trade and other receivables	(54,381)	(1,084,197)	(54,381)	(1,084,197)
Decrease in amount due from related companies	2,274	48,122	2,274	48,122
Increase in deposits and prepayments and value added tax recoverable	(1,963)	(88,858)	(1,963)	(88,858)
Increase in trade and other payables	138,073	559,142	138,073	559,142
Increase/(decrease) in amount due to related parties	84,094	(137,564)	84,094	(137,564)
Cash generated from operations	2,416,150	1,479,584	2,416,150	1,479,584
Gratuity paid	(9,612)	(27,525)	(9,612)	(27,525)
Current tax paid	(1,040,904)	(916,015)	(1,040,904)	(916,015)
Interest paid	(22,762)	(11,335)	(22,762)	(11,335)
Net cash generated from/(used in) operating activities	1,342,872	524,709	1,342,872	524,709
Cash flow from investing activities				
Proceeds from disposal of property, plant and equipment	129	847	129	847
Short term loans repaid by related parties	-	250,000	-	250,000
Acquisition of property, plant and equipment	(151,658)	(80,766)	(151,658)	(80,766)
Investment in fixed deposits	(3,254,387)	(3,391,426)	(3,254,387)	(3,391,426)
Withdrawal of fixed deposits	3,005,240	4,241,070	3,005,240	4,241,070
Investment in financial assets measured at FVTPL -Unit Trust	(3,793,000)	(3,480,000)	(3,793,000)	(3,480,000)
Withdrawal of financial assets measured at FVTPL -Unit Trust	2,828,000	982,943	2,828,000	982,943
Interest received	181,120	523,036	181,120	523,036
Net cash used in investing activities	(1,184,556)	(954,296)	(1,184,556)	(954,296)
Cash flow from financing activities				
Dividend paid	(320,087)	(213,351)	(320,087)	(213,351)
Loans obtained	494,300	-	494,300	-
Loans repayments	(279,938)	(46,638)	(279,938)	(46,638)
Lease payments	(1,529)	(1,042)	(1,529)	(1,042)
Net Cash used in financing activities	(107,255)	(261,031)	(107,255)	(261,031)
Net decrease in cash and cash equivalents	51,061	(690,618)	51,061	(690,618)
Cash and cash equivalents at beginning of the period	677,531	1,368,150	677,531	1,368,150
Cash and cash equivalents at the end of the period	728,593	677,531	728,593	677,531

NOTES TO THE FINANCIAL STATEMENTS

- Figures in the Interim Financial Statements are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31 March 2025 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 - Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- The contingent liability as at 31 March 2026 on guarantees given to third parties amounted to Rs.189,711,526/-.
- Net finance income includes the exchange gain/(losses) as follows,

COMPANY/COMPANY AND INVESTEE				
	Period ended 31 March		Quarter ended 31 March	
	2026	2025	2026	2025
	Rs.000	Rs.000	Rs.000	Rs.000
Exchange gain/(loss)	217,191	(52,929)	68,137	31,405

- The Board of Directors declared an Interim Dividend of Rs.15/- per share for the year ended 31 March 2025 amounting to Rs. 327Mn. on 06 August 2025.
- On 18th December 2025, a special resolution stating sub-division of shares has been duly passed by the shareholders unanimously at the Extra Ordinary General Meeting of the Company on the said date. Accordingly, the number of shares of the Company after the sub-division is as follows.

No of shares prior to the sub division	21,800,000
No of share after the sub division	218,000,000

The denominator for the purposes of calculating both basic and diluted earnings per share and net asset per share have been adjusted to reflect the share split made as disclosed above.

- The fair value hierarchy of the financial assets measured at FVTPL as follows.

As at 31 March	Level 2 COMPANY/COMPANY AND INVESTEE	
	2026	2025
	Rs'000	Rs'000
Financial assets measured at FVTPL (Investment in Unit Trust)	4,888,051	3,583,977

- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.
- The number of shares held by the Board of Directors are as follows :

		As at 31 March 2026		As at 31 March 2025	
		No. of Shares	% Holding	No. of Shares	% Holding
Mr. U. G. Madanayake	- Chairman	562,000	0.26%	56,200	0.26%
Mr. Suren Madanayake	- Deputy Chairman	610,000	0.28%	61,000	0.28%
Mrs. N. C. Madanayake	- Director	-	-	-	-
Mr. Deepal Sooriyaarachchi	- Director	-	-	-	-
Mr. Yudhishtan Kanagasabai	- Director	-	-	-	-

- Shares held by public

	No. of Shares	% Holding	No. of Shareholders
Shares held by public as at 31 March 2026	43,996,960	20.2%	4318
Float adjusted market capitalization (Rs.)	4,509,688,400		

Company complies the requirement of Listing Rules of 7.14.1 -Minimum Public Holding as a Continuous Listing Requirement under the option No. 05 of 7.14.1 (a) as follows.

OPTION	MINIMUM PUBLIC HOLDING REQUIREMENT		
	Float adjusted Market Capitalization	Minimum Public Holding Percentage	Number of Public Shareholders
Option -2	Less than Rs.5.0Bn	7.5%	500

- 20 Largest Shareholders of the Company as at 31 March 2026 were as follows:

	No. of Shares	% Holding
1 Lanka Olex Cables (Private) Ltd	163,493,480	75.00%
2 ACL Cables PLC	9,337,560	4.28%
3 People's Leasing & Finance PLC/Mr. Iresh Sridas	1,554,590	0.71%
4 Amana Bank PLC/Hi-Line Trading (Pvt) Ltd	1,000,000	0.46%
5 Goonesekera C. D. M. (Mrs.)	625,000	0.29%
6 Madanayake H. A. S.	610,000	0.28%
7 Arunodhaya Industries (Private) Limited	600,000	0.28%
8 Madanayake U. G.	562,000	0.02%
9 Arunodhaya (Private) Limited	500,000	0.23%
10 Arunodhaya Investment (Private) Limited	500,000	0.23%
11 Seylan Bank PLC/A. P. Jayasinghe	500,000	0.21%
12 Employees Trust Fund Board	466,564	0.20%
13 Ceylinco Shriram Capital Management Services	465,000	0.20%
14 Assetline FinancePLC/ M. S. Kandanage	427,195	0.19%
15 Leonard D.S.	415,030	0.19%
16 Commercial Bank of Ceylon PLC/ H. G. Balasuriya	414,347	0.18%
17 Gunewardene A. D.	402,000	0.18%
18 Rajaksa D. M. and Rajapakse D. S. D.	390,000	0.17%
19 Essajee Carimjee Insurance Brokers (Pvt) Ltd	375,000	0.17%
20 Mohideen M. M.	370,020	0.17%

CORPORATE INFORMATION

Name of the Company	- Kelani Cables PLC
Company registration No.	- PQ 117
Legal form	- A Quoted Public Company with Limited Liability, incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited. With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008.
Registered office	- No. 60, Rodney Street, Colombo 08, Sri Lanka. Telephone : 94-11-7608300, 94-11-2697652 Fax : 94-11-2667758, 94 11 2699503
Principle place of business	- P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka. Telephone : 94-11-2911224, 94-11-7434400 Fax : 94-11-2910481 Email : info@kelanicable.com Website : www.kelanicable.com
Board of directors	- Mr. U. G. Madanayake Mr. Suren Madanayake Mrs. N. C. Madanayake Mr. Deepal Sooriyaarachchi Mr. Yudhishtan Kanagasabai
Chief Executive Officer	- Dr. Anil Munasinghe
Company Secretary	- Corporate Affairs (Private) Limited. No. 68/1, Dawson Street, Colombo 02, Sri Lanka.
Equity Accounted Investee	- ACL-Kelani Magnet Wire (Private) Limited No. 60, Rodney Street, Colombo 08, Sri Lanka. Principle place of business No.78, Raja Mawatha, Ekala, Ja-ela, Sri Lanka.
Auditors	- KPMG (Chartered Accountants) 32A, Sir Mohamed Macan Marker Mawatha P. O. Box 186 Colombo 03 Sri Lanka.
Bankers	- Hatton National Bank PLC Hongkong and Shanghai Banking Corporation Limited Standard Chartered Bank Peoples Bank Nations Trust Bank PLC NDB Bank PLC DFCC Bank PLC Commercial Bank of Ceylon PLC Sampath Bank PLC Indian Overseas Bank